Stock Trends, Patterns, and When to Buy or Sell

An **upward trend** is when a stock makes higher highs and higher lows. A **downward trend** is when it makes lower highs and lower lows. A practical rule is to favor buying pullbacks in an established uptrend and avoid buying—or consider reducing exposure in—a confirmed downtrend.

How to Identify the Trend

Trend	Chart pattern	What it suggests
Upward / bullish	Higher highs and higher lows; price generally above rising moving averages	Dips may be buying opportunities; long positions are favored.
Downward / bearish	Lower highs and lower lows; price generally below falling moving averages	Rallies may be selling opportunities; long positions are risky.
Sideways / range	Price moves between a support floor and resistance ceiling	Wait for a breakout or use range-trading rules.

To check the trend visually, draw a line beneath recent lows. If it slopes upward, the stock is in an uptrend; if it slopes downward through recent highs, it is in a downtrend.

Common Stock Chart Patterns

Patterns do not predict the future with certainty. They are most useful when confirmed by volume, a break of support or resistance, and the broader trend.

Pattern	What it looks like	Usual signal	How to trade it
Double bottom	Two roughly equal lows with a rally between them	Potential bullish reversal	Buy on a confirmed break above the middle peak (“neckline”); stop b
Double top	Two roughly equal highs with a pullback between them	Potential bearish reversal	Consider selling or avoiding longs on a confirmed break below the m
Head and shoulders	Three peaks, with the middle peak highest	Potential bearish reversal	Sell or avoid longs when price breaks below the “neckline”; stop abo
Inverse head and shoulders	Three troughs, with the middle trough lowest	Potential bullish reversal	Buy on a confirmed break above the neckline; stop below the right sh
Ascending triangle	Flat resistance with rising lows	Potential bullish continuation or breakout	Buy on a break above resistance; stop below the most recent higher
Descending triangle	Flat support with falling highs	Potential bearish continuation or breakdown	Avoid new longs or reduce exposure on a break below support; stop
Bull flag	Sharp rise, then a small downward/sideways pullback	Potential bullish continuation	Buy when price breaks above the flag’s upper boundary; stop below
Bear flag	Sharp fall, then a small upward/sideways pullback	Potential bearish continuation	Avoid longs or consider exiting on a break below the flag’s lower bou
Cup and handle	Rounded base followed by a small pullback (the handle)	Potential bullish continuation	Buy on a break above the handle’s resistance; stop below the handle

Important: A pattern is not a signal until it completes. For example, a “double bottom” is only actionable after price breaks above the peak between the two lows; before that, it may simply become another lower low.

When to Buy

- **Buy pullbacks in an uptrend:** purchase when price pulls back to support or a rising moving average, then resumes upward.
- **Buy confirmed breakouts:** consider an entry when price breaks above a consolidation range, triangle, flag, or handle.

- **Watch moving-average crossovers:** a shorter moving average crossing above a longer one, such as the 20-day crossing above the 50-day, can signal improving momentum. Use it with other confirmation.
- **Confirm reversals:** for bullish reversal patterns, wait for a break above the pattern's resistance or neckline.
- **Confirm the setup:** check the broader trend, business fundamentals, sector strength, and your risk plan before buying.

Example: If a stock has been rising, pulls back to its 50-day moving average, then forms a higher low and moves back up, that is a more disciplined buy setup than buying merely because the price "looks cheap."

When to Sell

- **Sell when the uptrend breaks:** price makes a lower low, falls below important support, or closes below a key moving average.
- **Take profits at resistance:** resistance is where sellers commonly become more active and upward momentum can weaken.
- **Sell on bearish pattern confirmation:** for example, after a double top or head-and-shoulders neckline breaks downward.
- **Sell if your thesis changes:** exit when the original reason for owning the stock is no longer valid.
- **Use predefined exits:** sell when you reach your profit target or loss limit.
- **Be cautious in downtrends:** rallies may be opportunities to exit rather than reasons to buy more, unless the trend structure has actually changed.

When a Downtrend May Turn

Do not buy a falling stock only because it has dropped sharply; it can keep falling. A more convincing reversal setup is:

- Price stops making lower lows and forms a **higher low**.
- A bullish reversal pattern forms, such as a double bottom or inverse head and shoulders.
- Price breaks above the pattern's resistance or neckline.
- Volume and momentum support the move.
- Price holds above a moving average or former resistance after the breakout.

Use a Risk Plan

Trend and pattern signals are probabilities, not guarantees; no single indicator is reliable on its own. Before entering a trade, decide in advance:

- **Entry:** the price or condition that confirms the trend or pattern.

- **Stop-loss:** the price that proves the idea wrong, often below the recent higher low, pattern low, or support.
- **Position size:** small enough that one loss will not materially damage your portfolio.
- **Exit:** a target, a trend-break rule, or both.

For long-term investing, use trends and patterns as a timing filter rather than the sole reason to buy. For short-term trading, respect the trend and exit quickly if it reverses.